“What’s the Point?”

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What's the Point? - Companies making big bets on emerging technology infrastructure ahead of competitors can secure dominant market positions in future markets.

Source: "Google to Invest $24 Billion in AI in U.S., India"
By: Kimberley Kao; Date: WSJ October 14, 2025

Analysis:
Plan of Action: Google disclosed plans to invest $24 billion in artificial intelligence infrastructure in the U.S. and India. The company is investing $9 billion in data centers in South Carolina through 2027 to create advanced computing capacity for AI, and $15 billion to build AI data centers and hubs in India over the next five years. This is the largest investment that Google has ever made in India. Google is also hiring additional engineers and technology workers to support their infrastructure work.

Situation: Technology companies are competing against each other to develop huge computing systems to handle artificial intelligence, which require a huge amount of computing power. Microsoft, Amazon, Meta, and OpenAI are investing large sums of money in data center infrastructure. If companies do not have enough computing capacity, they cannot train or run modern AI systems. Google realized it was behind in the race to secure computing capacity because other technology companies have made big bets on infrastructure investments. India meanwhile is becoming important because it has so many AI engineers, a large population that will need digital services, and low costs of building out data center infrastructure.

Objective & Outcome: By investing $24 billion today, Google locks in computing capacity that it will require for AI systems in the future. The South Carolina Investment helps keep Google competitive in its home market while competing against Amazon and Microsoft, and the investment in India shows Google is serious about that market and gains access to talented engineers. Both investments lower the likelihood that Google will fail to have computing capacity when prices increase substantially and/or demand for AI adopts grows all at once.

Generality: Microsoft invested over $10 billion in computing infrastructure to capitalize on their OpenAI partnership as they both form partnerships that require computing capacity before it becomes too expensive and/or becomes too scarce. Amazon built its own massive data centers specifically for AI workloads instead of renting from another provider that hasn't built its own massive data center for AI workloads. Meta recently announced it would invest billions developing a new data center for AI training purposes. OpenAI has plans for building $1 trillion computing warehouses across the U.S. and internationally. I think all these examples show that in AI whoever controls the computing infrastructure will control the market. Even JPMorgan Chase and Goldman Sachs are building their own AI systems to trade because they know whoever controls the infrastructure controls capacity. All these companies made the same strategic decision because computing capacity is becoming the most precious asset in tech.